HEADLINE JUDGMENT

Score HOLDS at 27/30 for a seventh consecutive edition. No channel moved. This edition covers two sessions, not one: no edition was built on 13 August, so **the 13 August close is reported here in full for the first time** rather than used only as a d/d reference. The integrity check clears — the 12 August row settled with true closes, Brent at **$86.82 against the $86.95 published for it, a gap of just 13 cents and the smallest of the running series** — and four series backfilled. What happened across those two sessions is that **the financial channel and the physical channel moved hard in opposite directions.** On the financial side everything de-risked at once: July CPI landed in line at **+0.1% m/m and 3.4% y/y** with the energy index down 1.5%, July PPI missed to the downside at **0.0% against +0.2% expected**, **5Y5Y broke BELOW the 2.30% trigger that fired the US-inflation channel to 5, closing 2.2900% and ending an eleven-close run**, **MOVE closed 69.23 — the lowest since 16 July and 4.15 points BELOW its pre-war anchor**, VIX printed **14.55 on 12 August, the lowest reading of 2026 and lower than anything recorded before the war**, Stage-4 Threshold B lapsed, and Treasury sold 10s and 30s into it with in-line demand. On the physical side everything tightened: the **IEA cut its estimate of effective OPEC spare capacity from about 0.17 mb/d to 0.07 mb/d**, more than doubled its 3Q26 deficit to **1.8 mb/d**, and recorded global observed stocks falling **69 mn bbl in July to just below 7.9 bn bbl, the first time under that line since April 2025**, with **8.3 mb/d of Gulf output still shut in**. Hormuz transits sit at or near three-month lows on every count, **CENTCOM's blockade tally rose from 55 vessels redirected to 59 in three days**, Defense Secretary Hegseth said on 13 August the blockade can be held **'indefinitely'** by rotating carriers, and Al Jazeera now describes the diplomatic track as **deadlocked**. The item that reconciles the two halves is the inventory print: **the EIA reported a 17.4 mn bbl US crude build, nearly double the API's 9.07 mn**, driven by imports up **1.14 mb/d to 7.3 mb/d**. That reads bearish and is the mechanical signature of the same dislocation — barrels that cannot reach Asia through Hormuz are landing on the US Gulf Coast instead. **The United States is building crude while the world draws it.** Two other firsts: the **$25bn 30-year cleared at 5.216%, the highest 30-year auction yield since 2001**, on in-line demand — absorbed, but only at a price and by a different buyer, with indirects down 10.9 points from July. And **gasoline reversed**: AUTMUSAG backfilled at $4.72 and **$4.76, back ABOVE the $4.75 trigger**, round-tripping six sessions of decline in two. Sequencing 27 → 27 → 27 → 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

14 Aug 2026 readings are intraday prints from the Singapore morning. The 13 Aug row is a confirmed close and the integrity check clears. Because no edition was built on 13 August, the 13 Aug close is published here for the first time and the 12 Aug close is reconciled against the intraday values printed in the last edition. d/d is 14 Aug intraday vs the 13 Aug close; **w/w bases differ and are labelled separately** — energy runs vs the 7 Aug close (five sheet-rows back from the latest row), rates vs the 6 Aug close (five rows back from the 13 Aug close). vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force.

Benchmark	Intraday 14 Aug	∆ d/d	∆ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$85.28 /bbl (H 85.47 / L 84.50)	+$0.06 (+$3.63 w/w vs 7 Aug)	from $72.48 (**+17.6%**) — a **$12.80/bbl premium**, down from the round 20% recorded on Wednesday. The range is 97 cents and the market has gone flat: six cents on the day after a $1.60 fall. Active COA prints $87.15	CO2 Comdty (Close)
Brent · 13 Aug close (last confirmed, NEVER PREVIOUSLY PUBLISHED)	$85.22 /bbl	**–$1.60 vs the 12 Aug close $86.82**	The largest single-session fall since 4 August, and it came on the EIA weekly. It leaves the channel **$9.78 below the $95 upgrade trigger and $12.74 above the $72.48 downgrade anchor** — against $8.38 and $14.14 in the last edition. **Both legs moved back the wrong way for a score change.** Still $33.13 below the 31 Mar war high of $118.35, and still +$3.63 on the week	CO2 Comdty (Close)
Brent · 12 Aug close (reconciliation)	$86.82 /bbl	vs $86.95 published intraday	**A gap of just –$0.13 — the smallest reconciliation miss in the running series** and the quietest US session the monitor has recorded against its own snapshot. The running gap series now reads –$0.84, +$1.97, –$0.47, –$3.99, +$0.10, +$2.26, +$0.72, +$0.87, **–$0.13**. Per §9.17 this is not evidence the next one will be quiet	CO2 Comdty (Close)
WTI front-month	$80.54 /bbl	+$0.10 (+$3.39 w/w)	from $67.02 (+20.2%) — the 13 Aug close of $80.44 fell $1.73, more than Brent in both dollars and per cent. CLA prints $81.37 against CL2's $80.54; the continuation artifact persists	CL2 Comdty (Close)
Brent–WTI spread	$4.74 /bbl front	$4.78 on the 13 Aug close, from $4.65	**$5.82 on the active contracts at the 13 Aug close — the widest since 6 May**, and wider on eight of the last nine sessions (3.43, 3.59, 4.23, 5.20, 5.37, 5.59, 5.71, 5.71, 5.82). This remains the cleanest single price in the document. Crude fell $1.60 on Thursday and **the spread widened anyway**: a general risk-off in oil would narrow it, and a Hormuz-specific dislocation does not	derived
Henry Hub natural gas	$2.747 /MMBtu	+$0.020 (+$0.085 w/w)	from $3.06 (–11.0%) — the 13 Aug close of $2.727 fell 7.7 cents. Still BELOW pre-war and 8.7 cents above the **$2.640 war low of 6 Aug**. US gas remains the cleanest evidence that this is a Hormuz-routing shock rather than a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€60.270 /MWh	–€0.130 (+€4.726 w/w)	from €31.23 (**+93.0%**) — the 13 Aug close of €60.400 fell €0.621 from a 12 Aug close of €61.021, itself **€1.116 ABOVE the €59.905 published for it**. The 24 Jul war record of €63.649 is **€3.25 away**, closer than at any point since. European gas is the one major series that did NOT participate in the week's de-risking	TZTA Comdty (Close)

Benchmark	Intraday 14 Aug	∆ d/d	∆ vs pre-war close (27 Feb)	BBG ticker
Japan/Asia LNG (13 Aug close — no 14 Aug print)	¥3,417	–¥36 vs the 12 Aug backfill of ¥3,453	from ¥1,669 (+104.7%) — the series printed on 12 and 13 Aug after two dark sessions. **Note that 11 Aug was never backfilled and is now a permanent hole**, so the 10-to-12 Aug move cannot be decomposed. No 14 Aug print; flagged and NOT carried as a reading. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

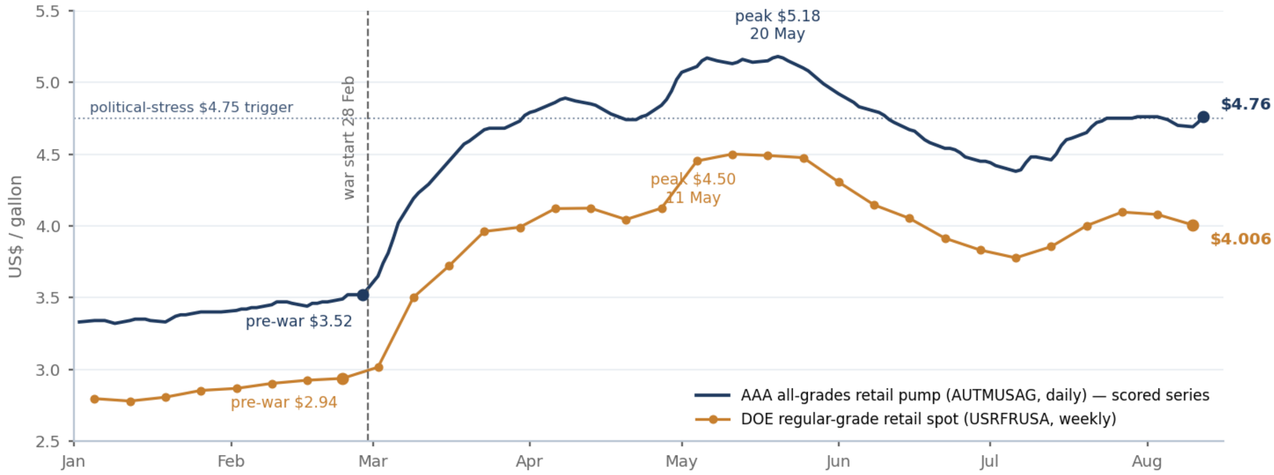
The curve printed on both sessions. Every tenor, the 2s10s spread and both inflation measures carry 13 and 14 Aug values; MOVE, VIX and SOFR have no 14 Aug print. Triggers and Stage-4 tests below are judged on the **13 Aug close**, which is confirmed and is published here for the first time. d/d is 14 Aug intraday vs the 13 Aug close; the 13 Aug close carries its own move against 12 Aug in the commentary column. **The whole curve fell 4.5 to 6.5 bp on 13 August** — a soft PPI, a claims miss and a 30-year auction that cleared without incident.

Tenor	Intraday 14 Aug (%)	∆ d/d (bp)	13 Aug close	∆ vs pre-war (bp) and commentary	BBG ticker
2-year UST	4.1502	+0.78	4.1424	+76.8 (from 3.37%) — the 13 Aug close fell **5.87 bp**, the largest move on the curve, on a 0.0% PPI and a 209k claims print against a 202k consensus. The front end is the tenor that trades the Fed, and it rallied hardest	USGG2YR Index
5-year UST	4.3215	+0.51	4.3164	+81.5 (from 3.50%) — down 6.53 bp on the session and still the largest vs-pre-war gap anywhere on the curve	USGG5YR Index
10-year UST	4.6467	+0.40	4.6427	+70.5 (from 3.94%) — down 4.98 bp, and **the close fell BELOW the 4.65% Stage-4 leg by 0.73 bp, which is what lapsed Threshold B.** The 10-year auction on 12 Aug cleared 4.683% against a 4.682% when-issued — effectively on the screws — with a 2.53x cover and **indirects at 76.7%**, down from July's exceptional 81.5%	USGG10YR Index
30-year UST	5.2141	+0.16	5.2125	+60.2 (from 4.61%) — down 4.49 bp. It still clears the 5.20% Stage-4 leg by 1.25 bp but the 10-year no longer does. It is **16.25 bp above the 13 May auction stop** (from 19.03) and 21.25 bp above the 5.00% downgrade line. **The $25bn auction the same day cleared 5.216% — 0.35 bp ABOVE the subsequent close**, so the market took the paper and then rallied through it	USGG30YR Index
2s10s spread	+49.434 bp	–0.39	+49.821	–6.2 (still flatter than pre-war) — the 13 Aug close of +49.821 is **the steepest since 20 May** (+52.83) and a **FOURTH consecutive steepening**. It steepened on a session when every tenor fell, which is a bull steepener and a different animal from the bear steepening of Monday and Tuesday. The consistent element across all four is term premium, not a Fed view	USYC2Y10 Index
10Y breakeven inflation	2.2585	–0.05	2.2590	+0.2 (from 2.2569%) — the margin over the pre-war anchor has narrowed from 1.86 bp on 10 Aug to 0.52 bp on 11 Aug to **0.21 bp at the 13 Aug close and 0.16 bp this morning.** Spot inflation compensation is now within a fifth of a basis point of where it sat before the war	USGGBE10 Index
5Y5Y forward inflation	2.2867	–0.33	2.2900	+14.8 (from 2.14%) — **THE RUN IS OVER. The 13 Aug close of 2.2900% is BELOW the 2.30% trigger that fired this channel 4→5 on 31 July**, ending eleven consecutive closes above it (29 Jul to 12 Aug). It fell 5.85 bp on the session, the largest single-day move in the series since the run began, and is the lowest since 28 Jul. It remains **14.80 bp above the 2.142% anchor** at which the documented downgrade lives	USGG5Y5Y Index
SOFR (no print 13 or 14 Aug)	—	—	no print	last printed 3.62 on the 12 Aug close. **Two consecutive dark sessions**, flagged and NOT carried as fresh	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	∆ vs pre-war	Interpretation
DXY	99.919	14 Aug intraday	+2.31 (from 97.61)	The 13 Aug close of 99.964 fell 0.050 after touching 100.014 on 12 Aug, the first triple-digit close of the war. The dollar has traded in a 20-cent band for five sessions across a CPI print, a PPI miss, two auctions and a $1.60 fall in crude. It continues to behave as a US-rates proxy, not a haven. Nothing in the currency is pricing the strait.
MOVE	69.23	13 Aug close (no 14 Aug print)	–4.15 (from 73.38)	**Down 2.86 on the session and the lowest close since 16 July** (68.16). This is the single most important number in the table and it needs stating precisely: MOVE is **4.15 points BELOW its pre-war anchor** and 5.77 points below the 75 line that forms the volatility leg of the Treasury downgrade. That leg is now satisfied for the **THIRD time in this war and by the widest margin of the three** (72.03 on 7 Aug, 73.58 on 5 Aug). The other leg is nowhere: the 30Y closed 21.25 bp above 5.00%. Per §9.18 a single close is a session, not a regime — but this one came on the day $25bn of 30-years cleared, which is the hardest test the leg has faced.
VIX	14.63	13 Aug close (no 14 Aug print)	–5.23 (from 19.86)	Up 0.08 from **14.55 on 12 August — the lowest VIX print of 2026, lower than any reading before the war began, and a new war low.** Equity volatility is now cheaper than it was on 27 February, with the strait closed for a 167th day, a US naval blockade in force, six mariners dead in the last week and OPEC effective spare capacity assessed at 0.07 mb/d. The dispersion between what the oil curve prices and what equity vol prices is wider again than the record noted on Wednesday.
AAA gasoline	$4.76 /gal	12 Aug print (13–14 Aug blank)	+$1.24 (from $3.52, +35.2%)	Political-stress score reference. **THE DECLINE HAS REVERSED. Both blank sessions backfilled and both were UP: $4.72 on 11 Aug and $4.76 on 12 Aug**, seven cents above the $4.69 low of 10 Aug and **back ABOVE the $4.75 trigger** that fired this channel to 5. Six sessions of decline were round-tripped in two. The $4.60 downgrade condition named on 11 August is now 16 cents away and moving the wrong way. Basis note: all-grades, not the regular-grade average AAA publishes, which printed $4.0715 on 13 Aug.
DOE gasoline	$4.006 /gal	10 Aug weekly print (no new print)	+$1.07 (from ~$2.94, +36.4%)	Corroboration only. No new weekly print — the series posts on Mondays and the next is 17 Aug, which will be the first weekly reading to capture the reversal. **The corroborating daily series has already turned: AAA regular rose 3.55 cents on 13 Aug to $4.0715 and AAA diesel rose 4.68 cents to $5.4043**, the first time the national diesel average has held above $5.40 in a second week of August. Diesel is up 5.7 cents on the week against gasoline's 0.8.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war $3.52, peak $5.18, latest confirmed print **$4.76 on 12 Aug**; 13 and 14 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is corroboration only (pre-war ~$2.94, peak $4.50, latest $4.006 for the week to 10 Aug, unchanged since the last edition). **The right-hand end of the navy line has turned back up, and this is the edition in which the six-session decline was reversed.** The dotted line is the $4.75 political→5 threshold. The scored series fell through it from $4.76 on 3 Aug to $4.69 on 10 Aug over six sessions, then recovered the entire move in two: $4.72 on 11 Aug and $4.76 on 12 Aug. Both prints arrived as backfills in this extract, which is why the last edition could not see them. What the chart cannot show is that the amber series has not yet been asked the question — its next weekly print is 17 Aug — and that AAA diesel rose 4.68 cents on 13 Aug to $5.4043.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 167 — and UKMTO records NOTHING TO REPORT for the first two-day window of the war	**UKMTO JMIC Advisory Update 084, covering 1 Mar to 13 Aug, has been retrieved** (081 remains unretrievable; 085 not yet published). It holds every threat level **unchanged from Update 083** — Hormuz **SEVERE**, Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf and Arabian Sea MODERATE, East Med LOW — and records **'NTR': no confirmed maritime security incidents anywhere in the area of responsibility across 12–13 Aug**, leaving the cumulative total at **86 since 1 March, unchanged.** Its transit annex is the sparsest of the war: **Hormuz 3 cargo + 2 tankers on 11 Aug and 2 cargo + 1 tanker on 12 Aug**, with 27 US NCAGS-facilitated transits across the 11–12 Aug 48 hours. Against that: **Kpler via Reuters counts 8 vessels on 11 Aug, the lowest since 5 Aug, against its own 10-day average of ~12 and a pre-war ~130–140/day**; **LSEG counts 11** the same day, from 14; and CNBC cites a Kpler 5-day average of ~13, near the lowest since 12 May. **Four vessel universes, four numbers, no average taken.** Reuters adds the detail that matters: of the seven vessels still transiting on 11 Aug, **all seven took the Iranian route.**	UKMTO JMIC Update 084 (to 13 Aug) / Kpler and LSEG via Reuters, 12 Aug / CNBC, 13 Aug
THE BLOCKADE TALLY ROSE FROM 55 TO 59 REDIRECTED IN THREE DAYS — AND THE PENTAGON SAYS IT CAN RUN INDEFINITELY	Update 084 quotes a **CENTCOM tally as of 12 Aug of 59 commercial vessels redirected, 3 disabled and 2 boarded**, against 55/2/2 as of 9 Aug in Update 083 — **four more vessels turned away in three days**, and the disabled count now formally includes the Panama-flagged **Vela Nova** (UKMTO 109-26), struck by two Hellfire missiles from a US Navy MH-60 on 11 Aug. **Defense Secretary Pete Hegseth said on 13 Aug that the United States can maintain the blockade on Iranian ports 'indefinitely'** by rotating carriers. Trump on 12 Aug, on Truth Social: the US has **'TOTAL CONTROL over the Strait of Hormuz… I THINK WE WILL KEEP IT!'**, describing the blockade as 'A WALL OF STEEL'. **No Panamanian flag-state protest has been reported and CENTCOM has still not posted the Vela Nova statement to its public release index**, whose most recent combat entry remains 29 July.	UKMTO Update 084 / Hegseth via Al Jazeera and MarineLink, 13 Aug / Trump via CNN, CBS, Al Jazeera, 12 Aug
KHARG'S WESTERN TERMINAL RELOADED ON 12 AUGUST — THE FIRST IRANIAN LOADING IN 25 DAYS	**Windward reports that Kharg Island's western oil terminal reactivated on 12 Aug for the first time since 18 July, ending 25 consecutive days empty**: a dark VLCC-class tanker of about 333 m berthed and began loading, and SAR imagery at 02:08 UTC on 13 Aug confirmed it still at berth and loading. It is assessed as the same VLCC that had held in the waiting area since 11 July. **The eastern terminal remains empty for a 14th day and the LPG terminal for a 17th**, and Vortexa recorded **zero departures from Kharg between 31 July and 11 August.** The dark-tanker queue is **16, down from 17** — consistent with one vessel leaving the queue to berth. Note what this is and is not: **Iran exporting is not the strait reopening.** Separately, Russia-to-Iran wet cargo movements are up **2.9x by shipment and 2.5x by volume** over the 164 days since 28 Feb, with zero flows the other way — the Caspian workaround is now structural.	Windward MIOC / Vortexa, 13 Aug
The mediation track is described as DEADLOCKED — and Iran's military spent 13 August rebutting Trump	**Al Jazeera's 13 Aug assessment is that US–Iran talks are in deadlock**, with Iran maintaining it is not talking to Washington directly and only to Oman. **No new Rezaei statement, and no softening or further additions to Iran's conditions, could be sourced for 12–14 Aug.** What did happen is rhetorical: joint command **Khatam al-Anbiya** said on 13 Aug that no vessel may transit without Tehran's permission and called the US claims 'lies and falsehoods'; the **Persian Gulf Strait Authority** posted on 12 Aug that the strait **'remains blocked and will not be reopened until Iran's conditions are accepted'**; Araghchi called the US actions an 'even bigger miscalculation'. Basij commander Taeb's claim that the strait is under Iranian management is carried by Fars and is **Tier 3**. The latest mediator statements remain those of 11 Aug (Qatar's al-Ansari, 'advanced stage'; Pakistan's Naqvi in Tehran); **nothing newer was published 12–14 Aug.**	Al Jazeera, 13 Aug / Euronews, 13 Aug / CNBC, 13 Aug / Fars (Tier 3)
Oman — the precise query, and the precise answer	Per the correction adopted on 12 August, this row states exactly what was asked of the primary source. **fm.gov.om was checked directly on both its news and statements indexes.** (a) The most recent item of ANY kind is **12 Aug, on Colombia and the Golan — not Iran or Hormuz.** (b) The most recent **Iran/Hormuz-relevant statement remains 8 Aug**, condemning repeated attacks on vessels in the strait and stating that navigation negotiations are 'progressing in a positive and constructive atmosphere'; **nothing on Iran or Hormuz has been published 9–14 Aug.** (c) The most recent **Oman–Iran JOINT statement remains 23 June**, and there has been none in July or August. The distinction between (b) and (c) is the whole of the correction made last edition and is restated here so it cannot drift again.	Oman Ministry of Foreign Affairs, fm.gov.om, checked directly 14 Aug

2 · US economic shock — analysis with bond yields

The score holds at 27/30 for a seventh consecutive edition and no channel moved, and for the first time in this sequence the reason is not that the news was bad and the scale was saturated. **It is that the financial measures improved materially and the documented downgrade conditions still were not met.** Across 12 and 13 August the entire financial complex de-risked: CPI landed in line and PPI missed to the downside, the whole Treasury curve fell 4.5 to 6.5 bp, **MOVE closed 4.15 points below its pre-war anchor**, VIX printed the lowest reading of 2026, **5Y5Y broke below the 2.30% trigger that fired the US-inflation channel to 5**, Threshold B lapsed, and $67bn of 10s and 30s cleared with in-line demand. Every one of those is a step toward a downgrade and not one of them satisfies a downgrade rule — because the rules were written wider than the triggers on purpose, and this is the week that design is being tested rather than described. Against it, the physical picture got worse in a way that is harder to reverse than any of the above. **The IEA cut effective OPEC spare capacity from about 0.17 mb/d to 0.07 mb/d**, more than doubled its 3Q26 deficit to 1.8 mb/d, put global observed stocks below 7.9 bn bbl for the first time since April 2025 after a 69 mn bbl July draw, and recorded **8.3 mb/d of Gulf production still shut in**. The blockade tally rose four vessels in three days, the Pentagon said it can be sustained indefinitely, and the diplomatic track is deadlocked. **A market that is pricing less risk into a supply situation that has less slack in it than at any point in the war is not the same thing as a situation that has improved.**

2.1 · Bond-yield transmission

The curve printed on both sessions; MOVE, VIX and SOFR did not print on 14 Aug. Every trigger below is judged on the confirmed 13 Aug close, published here for the first time. No channel moved. Score holds at 27/30.

(i) US inflation impulse — held at 5 (max), and the trigger that fired it has disappeared. This is the most important paragraph in this edition and it has to be written against the monitor's own interest. **5Y5Y closed 2.2900% on 13 August, BELOW the 2.30% level whose sustained break fired this channel 4→5 on 31 July**, ending a run of eleven consecutive closes above it that began on 29 July. It fell 5.85 bp on the session — the largest single-day move in the series since the run began — and printed 2.2867% this morning, the lowest since 28 July. The **documented** downgrade condition for this channel is a sustained 5Y5Y at or below the 2.142% pre-war anchor, which is **14.80 bp away**, so the score does not move. But §9.16 requires that the tension be stated rather than resolved by quiet redefinition, and the tension is now real rather than theoretical: **the condition that raised this channel is no longer satisfied, and the condition that would lower it is not close.** The corroborating series says the same thing more starkly. The 10-year breakeven closed 2.2590% against a 2.2569% pre-war anchor — **a margin of 0.21 basis points**, down from 1.86 bp on Monday and 0.52 bp on Tuesday. Spot inflation compensation has effectively returned to where it was before the war. The macro data supports it: **July CPI at +0.1% m/m and 3.4% y/y headline and +0.2% and 2.5% core was in line and lower than June on both core measures**, with the energy index down 1.5% m/m and gasoline down 2.9%; **July PPI was flat at 0.0% against a +0.2% consensus** with core at +0.2% against +0.3%. Two cautions before anyone reads a turn. The CPI energy decline is a **July** observation, and AAA gasoline and diesel have both risen since. And PPI final demand is still **+4.7% y/y with core at +4.2%**. The channel holds at 5, the downgrade rule is unchanged, and this monitor will not move the line it fired on.

(ii) Treasury — held at 5 (max), and the volatility leg is now satisfied by the widest margin of the war. The downgrade needs a 30Y close below 5.00% together with MOVE below 75, sustained. **MOVE closed 69.23 on 13 August, down 2.86, the lowest since 16 July and 4.15 points BELOW its 73.38 pre-war anchor.** That is the third time the volatility leg has been satisfied — 73.58 on 5 August, 72.03 on 7 August, now 69.23 — and by far the widest margin, 5.77 points rather than 1.42 or 2.97. §9.18 says a leg satisfied by one macro session is a session and not a regime, and that caution stands. It is worth noting what makes this instance different: the two earlier satisfactions came on a benign refunding announcement and a weak payrolls print, and both were given back within one and two sessions respectively. **This one came on the day $25bn of 30-year bonds cleared**, which is the hardest single test the rates-volatility complex faces in a quarter, and it fell rather than rose through it. The other leg remains nowhere: **the 30Y closed 5.2125%, 21.25 bp above the 5.00% line**, having fallen 4.49 bp. Per §9.15 both gaps are reported and compared: the volatility gap has gone from +2.92 bp adverse on Tuesday to 5.77 favourable, while the yield gap has closed only from 24.03 to 21.25 bp. **The legs are rotating again, not converging**, and a two-leg test is not satisfied by one leg however emphatically.

(iii) Oil — held at 2, and the upgrade gap widened by $1.40. Brent's 13 August close of $85.22 fell $1.60, the largest single-session decline since 4 August, leaving the channel **$9.78 below the $95 upgrade trigger and $12.74 above the $72.48 downgrade anchor** against $8.38 and $14.14 in the last edition. Both legs moved away. The proximate cause is the inventory print and it deserves careful handling. **The EIA reported commercial crude up 17.4 mn bbl to 424.4 mn for the week to 7 August** — nearly double the API's 9.07 mn estimate and one of the largest weekly builds on record — with gasoline down 1.0 mn to 208.7 mn, distillate down 0.1 mn to 107.1 mn and about 12% below the five-year average, and refinery utilisation at 96.2%. The mechanical driver is stated in the report: **crude imports rose 1.14 mb/d to 7.3 mb/d.** That is not demand destruction and it is not a supply recovery. **It is the routing dislocation arriving in the US statistics** — barrels that cannot reach Asia through Hormuz being landed on the Gulf Coast instead, in the same week the IEA recorded global observed stocks falling 69 mn bbl to below 7.9 bn, the lowest since April 2025. The US builds while the world draws, and reading the first without the second inverts the signal. Underneath, the physical case tightened rather than loosened. **The IEA cut effective OPEC spare capacity from about 0.17 mb/d to 0.07 mb/d**, assigning none at all to Saudi Arabia, Iraq or Kuwait, and put total OPEC+ effective spare at 1.09 mb/d of which 0.64 sits in Russia. It **more than doubled its 3Q26 deficit to 1.8 mb/d, cut 2026 demand by a further 510 kb/d to a 1.6 mb/d contraction, and recorded 8.3 mb/d of Gulf output shut in** with Atlantic Basin refining margins at all-time highs. OPEC's own MOMR the same day cut 2026 demand growth to +600 kb/d — **the two agencies now disagree about the sign, not the magnitude.** The channel does not move on any of this; the upgrade needs a sustained close above $95. Oil remains the only channel with room to raise this score and this week it used some of that room up.

(iv) Political stress — held at 5 (max), and the retreat has reversed rather than stalled. The last edition named three reasons the fall toward $4.60 would not continue: the decline was decelerating to one cent from two, $9.09 of weekly crude had not yet reached the pump, and AAA diesel had turned up first on 11 August. **All three were right, and within 48 hours.** Both blank sessions have backfilled and both were increases: **AUTMUSAG printed $4.72 on 11 August and $4.76 on 12 August**, seven cents above the $4.69 low and **back ABOVE the $4.75 trigger** that fired this channel to 5 on 4 August. Six sessions of decline — $4.76, $4.75, $4.74, $4.72, $4.70, $4.69 — were fully round-tripped in two. The $4.60 condition set on 11 August is now **16 cents away and moving away**. The corroborating daily series confirms it independently: **AAA regular rose 3.55 cents on 13 August to $4.0715 and AAA diesel rose 4.68 cents to $5.4043**, with diesel up 5.7 cents on the week against gasoline's 0.8 — the refining leg still doing the work, exactly as flagged. The DOE weekly has not been asked the question yet; its next print is 17 August and will be the first weekly reading to capture the turn. What this episode establishes is worth recording: **a testable condition set at the right width did its job.** It was measurable at nine cents on Tuesday and at sixteen today, and at no point did it tempt a premature downgrade on a six-session run that reversed completely.

(v) Escalation risk — held at 5 (max), on the quietest kinetic window of the war and the most rigid diplomatic one. These two facts sit together and neither cancels the other. **UKMTO Update 084 records 'NTR' — no confirmed maritime security incidents anywhere in its area of responsibility across 12 and 13 August**, leaving the cumulative count at 86 since 1 March, unchanged. No Tier 1 outlet reported a US or Israeli strike inside Iran, and CENTCOM's public release index still shows no combat release since 29 July. That is a genuine counter-indicator and it is reported as one. But a downgrade needs a mediated stand-down and resumed talks, and the diplomatic record moved the other way. **Al Jazeera's 13 August assessment is that the track is deadlocked**; no new Rezaei statement and no softening of Iran's conditions could be sourced; the most recent mediator statements remain those of 11 August. **Defense Secretary Hegseth said the blockade can be maintained indefinitely by rotating carriers**, Trump said on Truth Social that the US has total control of the strait and 'I THINK WE WILL KEEP IT', and Iran's joint command replied that no vessel transits without Tehran's permission. **The blockade tally rose from 55 vessels redirected to 59 in three days.** Enforcement is intensifying while kinetic events stop, which is what a stabilised siege looks like, not what a de-escalation looks like. The Tihamah killings remain unclaimed by the Houthis. Two condemnations — Egypt's foreign ministry and the IMO Secretary-General — could only be sourced outside this monitor's named-outlet tier and are carried as unconfirmed pending a wire pickup.

(vi) Maritime denial — held at 5 (max), with transits at or near three-month lows and one physical counter-signal. The strait is closed on day 167. **Update 084 holds every threat level unchanged from 083** — Hormuz SEVERE, Gulf of Oman and Bab el-Mandeb SUBSTANTIAL — and its transit annex is the thinnest of the war: **five Hormuz transits on 11 August and three on 12 August** on the S&P/SeaVision universe, with 27 US NCAGS-facilitated transits across the 48 hours. Kpler via Reuters counts **8 vessels on 11 August, the lowest since 5 August, against its own 10-day average of about 12** and a pre-war baseline of roughly 130 to 140 a day; LSEG counts 11 the same day, down from 14; CNBC cites a Kpler five-day average near 13, the lowest since 12 May. **Four sources, four vessel universes, no average taken** — and the detail that carries most information is Reuters': of the seven vessels still transiting on 11 August, **all seven took the Iranian route.** The downgrade condition, verified traffic above 25% of normal for ten sessions, is not close on any denominator. One physical development cuts the other way and should not be overstated: **Kharg Island's western terminal reactivated on 12 August after 25 consecutive days empty**, a dark VLCC of about 333 m loading and still at berth the following morning, the queue falling from 17 to 16. The eastern and LPG terminals remain empty for a 14th and 17th day. **Iran resuming exports from Kharg is not the Strait of Hormuz reopening**, and this monitor scores the strait.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. **All three refunding legs are now done and none of them tailed.** Threshold B has lapsed for the fifth time in a fortnight. Threshold C is further away than at any point in the war.

Threshold A · 13 May 30Y auction, cleared 5.050% — the refunding is complete and it did not break. All three legs cleared without a tail. The $58bn 3-year on 11 August stopped through 0.5 bp at 4.291%. The 10-year on 12 August cleared **4.683% against a 4.682% when-issued — effectively on the screws** — on a 2.53x cover against a 2.49x twelve-month average, with **indirects at 76.7%, directs 14.7% and dealers taking only 8.6%.** It is reported as the highest 10-year auction yield since 2007. The **$25bn 30-year on 13 August cleared 5.216%, the highest 30-year auction yield since 2001**, on a **2.39x cover against a 2.38x average, indirects 66.8% against 66.4%, directs 21.6% and dealers 11.5%** — demand in line on every metric. **No when-issued print for the 30-year could be sourced and no tail figure is asserted here.** The market's own verdict is in the price: **the 30-year closed 5.2125%, 0.35 bp BELOW the auction stop**, so the paper was absorbed and the long end then rallied through it. Threshold A does not re-arm. Two observations survive the benign outcome. First, **the 30-year indirect share fell 10.9 points from July's 77.7% to 66.8% while directs rose 9.4 points** — foreign and institutional take normalised back to its twelve-month average at a yield roughly 16 bp higher, so the buyer changed even though the clearing did not fail. Second, the reference point itself has moved: **the US Treasury has now term-funded at 5.216%**, and 5.050% is a historical marker rather than a live comparison. The next long-end supply is the September refunding.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — LAPSED on the 13 August close, for the fifth cycle in a fortnight. The 30Y closed 5.2125% and still clears its leg by 1.25 bp, but **the 10Y closed 4.6427%, failing its leg by 0.73 bp** after a 4.98 bp fall. The threshold was satisfied going into the 30-year auction on the 12 August close (5.2574% / 4.6925%) and lapsed on the auction day itself. The full sequence is now: satisfied 29 July to 3 August, out 4 and 5 August, in 6 August, out 7 August, in 10 to 12 August, **out 13 August. Five cycles in a fortnight, and every one of them decided by less than 6 bp on one leg.** This monitor has held both readings throughout and continues to: a test that flips this often is measuring a long end sitting on its trigger, and the correct inference from five cycles is neither that the threshold keeps being breached nor that it keeps being escaped, but that **4.65% and 5.20% are now the middle of the distribution rather than the edge of it.** The fiscal arithmetic underneath is unchanged: Treasury still needs $68bn more this quarter than it projected in May and has chosen to fund it in bills and buybacks.

Threshold C · MOVE above 130 — further away than at any point in the war. MOVE closed 69.23 on 13 August, **60.77 points below the threshold and 45.79 below the 115.02 war high of 26 March**. C has not been close for four months and is now further from it than at any point since the war began. The number that matters remains at the other end: **69.23 is 5.77 points below the 75 line that forms the volatility leg of the Treasury downgrade, and 4.15 points below the pre-war anchor of 73.38.** The structural observation this monitor has returned to repeatedly is now at its widest: **rates volatility is trading BELOW its pre-war level while the 30-year sits 60.19 bp ABOVE its own.** A market that has fully normalised its expectation of how much yields will move, around a yield level that has not normalised at all, has priced a permanent repricing rather than a temporary one. That is a coherent position and it may well be right. It is also the configuration in which a surprise is worst absorbed, and it now coexists with an effective OPEC spare-capacity estimate of 0.07 mb/d.

2.3 · Cross-asset

The cross-asset story is no longer dispersion between oil and everything else; **it is that oil has partly joined the de-risking while the physical evidence has not.** Brent fell $1.60 on Thursday to $85.22 and sits 17.6% above pre-war against 20.0% on Wednesday; VIX printed **14.55 on 12 August, the lowest reading of 2026 and lower than any print before the war**; MOVE closed 4.15 points below its pre-war anchor; the dollar held a 20-cent band for five sessions. Three things did not participate. **TTF at €60.400 is 93.0% above pre-war and within €3.25 of its 24 July war record**, closer than at any time since — European gas is pricing no de-escalation at all. **The Brent–WTI active**

spread widened to $5.82, the widest since 6 May, on a session when crude fell $1.60; a general risk-off in oil narrows that spread and a Hormuz-specific dislocation does not, so the routing signal is intact underneath a falling flat price. And the curve steepened for a fourth consecutive session, **2s10s closing +49.821 bp, the steepest since 20 May** — a bull steepener where Monday and Tuesday were bear steepeners. **A curve that steepens through rallies and sell-offs alike is repricing term premium, not a Fed path.** Henry Hub at $2.727 is still 11.0% BELOW pre-war, so the chokepoint signature holds. The honest summary is that the financial complex has decided this is a level shift rather than an ongoing shock; the IEA's spare-capacity revision is the strongest argument that it is early to that.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed, day 167. **UKMTO Update 084 (to 13 Aug) retrieved** — all threat levels unchanged from 083, Hormuz SEVERE, and **'NTR': no confirmed incidents anywhere in the AOR 12–13 Aug**, cumulative 86 unchanged. Transit annex the thinnest of the war: **5 Hormuz transits on 11 Aug, 3 on 12 Aug**; 27 US NCAGS-facilitated over 48h. **Kpler via Reuters 8 on 11 Aug (lowest since 5 Aug) vs its own 10-day avg ~12 and pre-war ~130–140/day; LSEG 11; CNBC cites a Kpler 5-day avg near 13, lowest since 12 May.** Four universes, no average. **All seven vessels still transiting on 11 Aug took the Iranian route.** Counter-signal: **Kharg's WESTERN terminal reloaded 12 Aug after 25 days empty**, queue 17→16; eastern and LPG still empty 14 and 17 days.	↑ at max. ↓ verified reopening with traffic above 25% of normal for 10 sessions → to 3–4. Not close on ANY denominator. **Iran exporting from Kharg is not the strait reopening.**
Oil price shock	2/5	Held at 2 — **and the upgrade gap WIDENED $1.40.** Last confirmed close **$85.22 (13 Aug), –$1.60**, the largest fall since 4 Aug; $85.28 intraday. That is **$9.78 below the $95 upgrade trigger and $12.74 above the $72.48 anchor**, against $8.38 / $14.14 last edition. Cause: **EIA commercial crude +17.4 mn bbl to 424.4 mn**, ~2x the API estimate, on **imports +1.14 mb/d to 7.3 mb/d** — routing, not demand. Against it: **IEA cut effective OPEC spare capacity 0.17 → 0.07 mb/d**, doubled the 3Q26 deficit to 1.8 mb/d, global stocks –69 mn bbl in July to below 7.9 bn (first since Apr 2025), 8.3 mb/d Gulf output shut in.	↑ Brent above $95 sustained → to 3. **$9.78 away, having been $8.38.** ↓ mediated pause + close at/below $72.48 → to 1. Both legs moved further away.
US inflation impulse	5/5	Held at 5 (max) — **but the trigger that FIRED it has gone.** 5Y5Y closed **2.2900% on 13 Aug, BELOW the 2.30% level** whose break fired this channel 4→5 on 31 Jul, ending **eleven consecutive closes above** (29 Jul–12 Aug) with a 5.85 bp fall, the largest of the run; 2.2867% intraday, lowest since 28 Jul. **BE10 2.2590% is 0.21 bp above the 2.2569% anchor**, from 1.86 bp on Monday — spot compensation is back to pre-war. **July CPI in line at +0.1% m/m / 3.4% y/y, core +0.2% / 2.5%**, energy –1.5% m/m; **July PPI 0.0% vs +0.2% expected**, but still +4.7% y/y headline and +4.2% core.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (**14.80 bp away**, from 19.40). §9.16: the rule is not moved to match the trigger. Score holds.
Treasury stress	5/5	Held at 5 (max). **The volatility leg is satisfied for a THIRD time and by the widest margin of the war.** MOVE closed **69.23 on 13 Aug — lowest since 16 Jul, 5.77 pts below the 75 line and 4.15 pts BELOW the pre-war anchor** (vs 73.58 on 5 Aug and 72.03 on 7 Aug, both given back). It fell through a $25bn 30Y auction. **The 30Y leg fails by 21.25 bp** (from 24.03). **All three refunding legs cleared without a tail:** 3Y through 0.5 bp; 10Y 4.683% vs a 4.682% WI, 2.53x, indirects 76.7%; **30Y 5.216% — highest since 2001** — 2.39x, indirects 66.8%, all in line.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 **sustained** → to 4. **One leg satisfied, one leg 21.25 bp away.** §9.15: the legs are rotating, not converging.
Political stress	5/5	Held at 5 (max) — **the retreat REVERSED.** Both blank sessions backfilled UP: **AUTMUSAG $4.72 on 11 Aug and $4.76 on 12 Aug**, seven cents off the $4.69 low and **back ABOVE the $4.75 trigger**. Six sessions of decline round-tripped in two. The $4.60 condition is now **16 cents away and moving away**, from nine. All three reasons the last edition gave for the fall stalling were validated inside 48 hours. Corroboration: **AAA regular +3.55c to $4.0715 and AAA diesel +4.68c to $5.4043 on 13 Aug**, diesel +5.7c on the week vs gasoline's +0.8c.	↑ at max. ↓ three consecutive AUTMUSAG closes at or below $4.60 with no intervening print above $4.70 → to 4. **16 cents away.** The $3.52 anchor remains the reference for a further fall to 3.
Escalation risk	5/5	Held at 5 (max) on the quietest kinetic window of the war and the most rigid diplomatic one. **UKMTO 084 records NTR — no confirmed incidents anywhere in the AOR across 12–13 Aug**; no Tier 1-confirmed strike inside Iran; CENTCOM's index still shows nothing since 29 Jul. Against it: **the blockade tally rose 55 → 59 vessels redirected in three days**; **Hegseth says it can run 'indefinitely'**; Trump says the US will 'KEEP IT'; Khatam al-Anbiya says no vessel transits without Tehran's permission; **Al Jazeera calls the track deadlocked** and no new Rezaei statement or softening could be sourced.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Latest mediator statements are still 11 Aug. A downgrade needs a published instrument, not a quiet fortnight.
TOTAL	27/30	CRISIS band — **HELD, seventh consecutive edition.** Five of six channels are maxed and only oil, at 2/5, can raise this number — and oil moved $1.40 further from its trigger. **The defining feature of this edition is a divergence:** every financial measure improved (5Y5Y below its firing trigger, MOVE below pre-war, VIX at a 2026 low, Threshold B lapsed, $67bn of duration absorbed) while the physical measures deteriorated (IEA effective spare capacity 0.17 → 0.07 mb/d, 3Q26 deficit doubled to 1.8 mb/d, global stocks below 7.9 bn, blockade tally +4 in three days, track deadlocked). **No documented downgrade condition was met.**	

4 · What's changed since the last edition (12 Aug AM → 14 Aug AM)

A TWO-session window — no edition was built on 13 August, so the 13 Aug close is published here for the first time. Score holds at 27/30; no channel moved. The IEA cuts effective OPEC spare capacity to 0.07 mb/d. The EIA reports a 17.4 mn bbl crude build. The 30-year clears at the highest yield since 2001. 5Y5Y breaks below its firing trigger. Gasoline reverses. Source: Bloomberg unless stated.

The IEA cut effective OPEC spare capacity from about 0.17 mb/d to 0.07 mb/d and more than doubled its third-quarter deficit. The August Oil Market Report, published 12 August, is the most consequential document of the week and it has been carried in this monitor with a stale number for a month. Its effective spare-capacity table now shows total OPEC at 0.07 mb/d and total OPEC+ at 1.09 mb/d, of which 0.64 sits in Russia, 0.25 in Kazakhstan and 0.13 in Mexico. The agency assigns NO effective spare capacity to Saudi Arabia, Iraq or Kuwait, whose sustainable capacities of 12.11, 4.87 and 2.88 mb/d exist on paper against July supply of 8.24, 2.88 and 1.74 — capacity that is not deliverable through a closed strait. The report cut 2026 demand by a further 510 kb/d to a contraction of 1.6 mb/d, cut 3Q26 supply by 1.7 mb/d, and more than doubled the 3Q26 deficit to 1.8 mb/d from about 800 kb/d. Global observed inventories fell 69 mn bbl in July, almost entirely oil-on-water, taking total observed stocks just below 7.9 bn bbl for the first time since April 2025; the cumulative draw from end-February to end-July is 410 mn bbl, or 2.7 mb/d. Gulf production was 23.9 mb/d in July with 8.3 mb/d still shut in, and Gulf exports including routes bypassing Hormuz fell 2.1 mb/d to 15 mb/d. Refinery throughputs were 80.9 mb/d, about 5 mb/d below a year earlier, with Atlantic Basin cracks and margins at all-time highs. Source: IEA Oil Market Report, 12 August.

The EIA reported a 17.4 million barrel US crude build — nearly double the API estimate — on imports up 1.14 mb/d. The Weekly Petroleum Status Report for the week to 7 August, released 12 August, put commercial crude at 424.4 mn bbl, up 17.4 mn on the week and about 2% below the five-year average, against the API's private estimate of 9.072 mn and a prior week at 407.0 mn. Gasoline fell 1.0 mn to 208.7 mn, about 6% below the five-year average; distillate fell 0.1 mn to 107.1 mn, about 12% below. Refinery utilisation was 96.2% with crude runs at 17.2 mb/d. The report states the mechanical driver: crude imports rose 1.14 mb/d to 7.3 mb/d against a four-week average of 6.3. Read alongside the IEA's 69 mn bbl global draw in the same period, this is not a demand or supply signal but a routing one — barrels that cannot reach Asian refiners through Hormuz being landed on the US Gulf Coast. The SPR stood at 298.7 mn bbl, down 6.1 mn on the week, against 403.2 mn a year earlier. Source: EIA Weekly Petroleum Status Report, 12 August.

The 30-year cleared at 5.216%, the highest 30-year auction yield since 2001 — and demand was in line on every metric. Treasury sold $25bn of 30-year bonds on 13 August at a high yield of 5.216%, reported as the highest 30-year auction yield since 2001, on a bid-to-cover of 2.39x against a 2.38x twelve-month average, with indirects at 66.8% against 66.4%, directs at 21.6% against 22.1% and dealers at 11.5%, in line. No when-issued print could be sourced and no tail figure is asserted here. The 10-year on 12 August cleared 4.683% against a 4.682% when-issued, effectively on the screws, on a 2.53x cover against 2.49x, with indirects at 76.7%, directs 14.7% and dealers only 8.6% — reported as the highest 10-year auction yield since 2007. The market's verdict is in the close: the 30-year finished the session at 5.2125%, 0.35 bp BELOW its own auction stop. Two things survive the benign result. The 30-year indirect share fell 10.9 points from the 77.7% of the 9 July reopening while directs rose 9.4 — the buyer changed at a yield 16 bp higher. And the reference point has moved: the United States has now term-funded at 5.216%, so the 13 May stop of 5.050% is a historical marker rather than a live comparison. Source: US Treasury via Helious desk data; Bloomberg, 12 and 13 August.

5Y5Y broke below the 2.30% trigger that fired the US-inflation channel to 5, ending an eleven-close run. The 5-year 5-year forward inflation swap closed 2.2900% on 13 August, below the 2.30% level whose sustained break fired this channel from 4 to 5 on 31 July. The run of closes above it began on 29 July and lasted eleven sessions. The fall of 5.85 bp was the largest single-day move in the series since the run began, and the intraday print on 14 August is 2.2867%, the lowest since 28 July. The 10-year breakeven closed 2.2590%, just 0.21 bp above the 2.2569% pre-war anchor, from 1.86 bp on 10 August. The macro backdrop supports the move: July CPI landed in line at +0.1% m/m and 3.4% y/y headline and +0.2% and 2.5% core, both core measures 0.1pp below June, with the energy index down 1.5% m/m and gasoline down 2.9%; July PPI was flat at 0.0% against a +0.2% consensus with core at +0.2% against +0.3%. The documented downgrade for this channel is a sustained 5Y5Y at or below the 2.142% anchor, 14.80 bp lower, so the score does not move — but the condition that raised it is no longer satisfied and that is stated here rather than quietly absorbed. Source: Bloomberg; BLS; CNBC, 12 and 13 August.

Gasoline reversed: AUTMUSAG backfilled at $4.72 and $4.76, back above the $4.75 trigger. Both sessions blank in the last extract have backfilled and both were increases. The scored series printed $4.72 on 11 August and $4.76 on 12 August, seven cents above the $4.69 low of 10 August and back above the $4.75 trigger that fired political stress to 5 on 4 August. Six consecutive declines — $4.76, $4.75, $4.74, $4.72, $4.70, $4.69 — were fully reversed in two sessions. The $4.60 downgrade condition set on 11 August is now sixteen cents away and moving away. The three reasons the last edition gave for expecting the fall to stall were all validated inside forty-eight hours: the decline had decelerated to one cent, $9.09 of weekly crude had not reached the pump, and diesel had turned up first. AAA's daily national averages confirm it independently — regular rose 3.55 cents on 13 August to $4.0715 and diesel rose 4.68 cents to $5.4043, with diesel up 5.7 cents on the week against gasoline's 0.8. Source: Bloomberg (AUTMUSAG); AAA, 13 August.

Kharg Island's western terminal reloaded on 12 August after twenty-five days empty. Windward reports, on electro-optical and SAR imagery with Vortexa trade data, that Kharg's western oil terminal reactivated on 12 August for the first time since 18 July: a dark VLCC-class tanker of about 333 m berthed and began loading, and SAR at 02:08 UTC on 13 August confirmed it still at berth and loading. It is assessed as the same VLCC that had held in the waiting area since 11 July. The eastern terminal remains empty for a fourteenth consecutive day and the LPG terminal for a seventeenth, and Vortexa recorded zero departures from Kharg between 31 July and 11 August. The dark-tanker queue fell from 17 to 16. Separately, Russia-to-Iran wet cargo movements are up 2.9x by shipment count and 2.5x by volume over the 164 days since 28 February with zero flows the other way. This supersedes Windward's widely-recycled 9 August post describing a total Kharg standstill. Source: Windward MIOC and Vortexa, 13 August.

UKMTO recorded no confirmed incidents at all across 12 and 13 August — the first such window of the war. JMIC Advisory Update 084, covering 1 March to 13 August, records "NTR" for confirmed incidents since the previous report, leaving the cumulative total at 86 since 1 March, unchanged. Every threat level is unchanged from Update 083: regional SEVERE, Strait of Hormuz SEVERE, Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf, Arabian Sea, Somali Basin and northern Red Sea MODERATE, eastern Mediterranean LOW. Four vessels remain held: MT Honour 25, MV Sward, MT Eureka and MT Asana; none is Hormuz-related. The update names the Al Mokha victim vessel as the Tanzania-flagged MV Tihamah, which Update 083 had withheld, and quotes a CENTCOM blockade tally as of 12 August of 59 vessels redirected, 3 disabled and 2 boarded. Bab el-Mandeb transits were 24 on 11 August and 22 on 12 August. Update 081 remains unretrievable and 085 has not published. Source: UKMTO JMIC Advisory Note Update 084.

The Pentagon said the blockade can run indefinitely; Trump said the United States will keep the strait; Iran's military said no vessel transits without permission. Defense Secretary Pete Hegseth said on 13 August that the United States can maintain the blockade on

Iranian ports "indefinitely" by rotating carriers. Trump posted on Truth Social on 12 August that the US has "TOTAL CONTROL over the Strait of Hormuz… I THINK WE WILL KEEP IT!", describing the blockade as "A WALL OF STEEL". Iran’s joint military command Khatam al-Anbiya replied on 13 August that no vessel may transit without Tehran’s permission and that the US claims are "lies and falsehoods"; the Persian Gulf Strait Authority had posted on 12 August that the strait "remains blocked and will not be reopened until Iran’s conditions are accepted"; Foreign Minister Araghchi called the US actions an "even bigger miscalculation". Al Jazeera’s 13 August assessment is that the talks are in deadlock, with Iran maintaining it negotiates only with Oman. No new statement from SNSC secretary Mohsen Rezaei, and no softening or further addition to Iran’s conditions, could be sourced for 12 to 14 August. Source: Al Jazeera, CNN, CBS, Euronews, CNBC, MarineLink, 12 and 13 August.

OPEC cut its 2026 demand growth forecast to +600 kb/d — the two agencies now disagree about the sign. The August Monthly Oil Market Report, published 12 August, cut OPEC’s 2026 global demand growth forecast to about +600 kb/d year on year from +800 kb/d in July, a 25% reduction and the fourth consecutive cut, on weaker growth in China, India and other Asian markets; 2027 was revised up to about +2.2 mb/d from 1.9. The divergence with the IEA is now categorical rather than a matter of degree: OPEC still forecasts 2026 demand growth, while the IEA published a 1.6 mb/d contraction the same day. Both are consistent with a supply-constrained market — demand that cannot be met is not demand that is measured — but a reader tracking either number in isolation will draw opposite conclusions about the state of the world. Source: OPEC MOMR, 12 August, via CCTV+ and Argus.

A 390 to 400 square kilometre oil slick off Oman, disclosed two months after the grounding, still has no salvage vessel on scene. Oman’s Environment Authority assessed the slick from the Caroline Bezengi at 390 to 400 square kilometres as of 10 August, up from about 20 square kilometres on 31 July, with a further advance projected and no salvage vessel on scene. Oman’s first public disclosure came on 10 August, roughly two months after the 12 June grounding. It carries no direct market signal and is recorded because the disclosure lag is informative about reporting conditions in the Gulf of Oman, and because regional salvage capacity is a live constraint with four vessels held and three disabled under the blockade. Source: Reuters, 10 August; Al Jazeera, 13 August.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal collapse — talks stall on terms	40%	Higher, and modal for a fourth edition. Three days produced no movement on terms in either direction: **no new Rezaei statement, no softening, and Al Jazeera assessing the track as deadlocked.** Against that stasis, both principals hardened publicly — **Hegseth on an 'indefinite' blockade**, Trump on keeping the strait, Khatam al-Anbiya on transit permission. The blockade tally rose four vessels in three days. Positions are no further apart than Wednesday but they are more entrenched.	Brent $88–105; oil to 3 on a sustained break; Threshold B re-arms; score 28.
Contained but violent — blockaded stalemate	22%	Higher, and the tape describes it almost exactly. **UKMTO recorded NO confirmed incidents anywhere in its AOR across 12–13 Aug** — the quietest window of the war — while enforcement intensified, with four more vessels redirected and the Pentagon describing the posture as sustainable indefinitely. **Violence has stopped without the coercion stopping.** That is a stabilised siege, and it is the state in which the score is least able to register what is happening.	Brent $78–95; MOVE 66–78; risk premium $8–18/bbl; score holds 27.
Return to full war	22%	Lower for a fifth edition. A sixteenth consecutive session with no Tier 1-confirmed strike inside Iran; CENTCOM's release index still shows nothing since 29 July; and UKMTO's **'NTR' for 12–13 Aug is the first two-day window of the war with no confirmed incident anywhere in the theatre.** The qualification is unchanged: this reflects capacity and consolidation rather than intent, and the Tihamah killings were only six days ago.	Brent $105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Regional relapse — Gulf energy infrastructure hit	11%	Slightly lower on probability and **materially higher on consequence.** No new strike on a Gulf facility and no GCC retaliation since 8 Aug; Jizan's 400k b/d restart is unchanged at 30 Aug. But the buffer has collapsed: **the IEA now puts effective OPEC spare capacity at 0.07 mb/d, down from the ~0.17 carried here since 10 July**, and assigns none at all to Saudi Arabia, Iraq or Kuwait. A single new outage now has nothing behind it.	Brent $150+; emergency policy response; HY spreads above 500 bp; score 29–30.
Mediated pause — the strait reopens	5%	Unchanged, and held at its lowest. Nothing moved in either direction: the most recent mediator statements are still those of 11 Aug, Oman has published nothing on Iran or Hormuz since 8 Aug, and no talks convened. **The one physical development that looks like progress is not:** Kharg's western terminal reloading after 25 days is Iran exporting, not the strait opening, and the vessel that berthed had been waiting since 11 July.	Brent $70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.

Probability shifts from the 12 Aug edition: **deal collapse +2 (38→40)** on three days of no movement plus public hardening on both sides; **contained-but-violent +1 (21→22)**, because a window with no confirmed incident and four more vessels redirected is the definition of the line; **full war −2 (24→22)** on UKMTO's first two-day nil return of the war; **regional relapse −1 (12→11)** on probability, though the consequence side is worse with effective spare capacity at 0.07 mb/d; **mediated pause unchanged at 5%** — nothing moved, and the Kharg reloading is an export resumption, not a reopening. Probabilities sum to 100. **The two paths in which the strait stays shut now carry 62% between them, the highest this map has recorded.**

6 · Watchlist · next 24 to 72 hours

Whether 5Y5Y stays below 2.30% — the single most consequential number for this score. The forward closed 2.2900% on 13 August and prints 2.2867% this morning, ending eleven consecutive closes above the trigger that fired the US-inflation channel to 5. The documented downgrade is a sustained close at or below the 2.142% anchor, 14.80 bp lower, so nothing moves yet. What to watch is whether this is a two-session reaction to an in-line CPI and a soft PPI or the start of a repricing. The corroborating signal is the 10-year breakeven, now 0.21 bp above its pre-war anchor from 1.86 bp on Monday; a close BELOW 2.2569% would be the first time spot inflation compensation has been beneath its pre-war level in this war, and would put real pressure on the gap between this channel's firing trigger and its downgrade rule.

Whether MOVE stays below 75 for a second and third session — the leg has been satisfied three times and given back twice. MOVE closed 69.23 on 13 August, the lowest since 16 July and 4.15 points below its pre-war anchor. The two prior satisfactions of this leg lasted one session each: 73.58 on 5 August was given back on 6 August, and 72.03 on 7 August was given back on 10 August. This one is different in two respects — the margin is 5.77 points rather than 1.42 or 2.97, and it was set on the day a $25bn 30-year auction cleared rather than on a data surprise. The Treasury downgrade still requires the 30-year below 5.00%, 21.25 bp away, so no single MOVE print can move this channel. But a third and fourth consecutive close below 75 would make the volatility leg a regime rather than a session for the first time.

The DOE weekly gasoline print on 17 August — the first corroboration of the reversal. USRFRUSA posts on Mondays and its last print is $4.006 for the week to 10 August, which captured only the decline. The scored AUTMUSAG series has since printed $4.72 and $4.76, and AAA's daily regular average rose 3.55 cents on 13 August to $4.0715. If the DOE weekly turns up on 17 August, the reversal is confirmed on two independent surveys and the $4.60 downgrade condition can be treated as dormant rather than approaching. Watch diesel alongside it: AAA had it at $5.4043 on 13 August, up 4.68 cents on the day and 5.7 on the week, with distillate stocks about 12% below the five-year average and Jizan's 400k b/d out to 30 August.

The next EIA weekly against a 17.4 million barrel build — and whether imports stay at 7.3 mb/d. A 17.4 mn bbl build is large enough that the following week decides how to read it. If crude imports fall back toward the 6.3 mb/d four-week average, the build was a single cargo-timing artifact of the routing dislocation. If they hold near 7.3 mb/d, the US Gulf Coast has become the residual destination for barrels that cannot clear Hormuz, and US inventory statistics will keep looking bearish while the IEA reports global draws of 2.7 mb/d. Watch the SPR line too: 298.7 mn bbl for the week to 7 August, down 6.1 mn, against 403.2 mn a year ago and with DOE putting the minimum for safe operation at about 70 mn bbl.

Whether the 10-year re-crosses 4.65% and re-arms Threshold B for a sixth cycle. The threshold lapsed on the 13 August close because the 10-year fell 4.98 bp to 4.6427%, failing its leg by 0.73 bp, while the 30-year still cleared 5.20% by 1.25 bp. It has now cycled five times in a fortnight and every one was decided by less than 6 bp on one leg. The refunding is complete and the next long-end supply is the September quarterly, so the near-term driver is data rather than issuance. A single firm print puts this test back on.

Whether Kharg loads a second cargo — and whether any vessel departs. The western terminal reactivated on 12 August after twenty-five days empty, with one dark VLCC at berth and loading as of 02:08 UTC on 13 August, and the waiting queue fell from 17 to 16. Vortexa recorded zero departures between 31 July and 11 August. The test is whether that vessel sails and whether a second berths: one loading is a queue-clearing event, a sequence is an export restart. The eastern and LPG terminals remain empty for a fourteenth and seventeenth day. None of this bears on the maritime score, which measures the strait.

UKMTO Update 085 — and whether the nil return holds. Update 084 recorded "NTR" for 12–13 August, the first two-day window of the war with no confirmed incident anywhere in the area of responsibility, with the cumulative count unchanged at 86 and all threat levels held. Update 085 will show whether that is a pause or a floor. Update 081 remains unretrievable for a third consecutive edition. Note that 084 still carries the assessment that direct hostile targeting of non-Saudi commercial shipping "is not indicated at present", which the Tihamah killings of 11 August continue to strain.

Unresolved and carried rather than closed. The Tihamah attack remains unclaimed by the Houthis six days on; SABA's Tier 3 account of "a Saudi ship carrying military equipment" is contradicted by the vessel's Tanzanian flag, Egyptian ownership and food cargo. Egyptian and IMO condemnations could only be sourced outside this monitor's named-outlet tier and are carried as unconfirmed. No Panamanian flag-state protest over the Vela Nova has been reported, and CENTCOM has still not posted the statement to its public release index. The Hormuz transit-fee bill remains at committee stage — general outlines approved 9 August — with no floor vote and no Guardian Council action. The Minoan Pioneer, the 6 August Kumzar explosions and the contested Qeshm incident produced no new reporting. No war-risk insurance figure newer than Marsh's 7.5–10% of hull value of 22 July could be sourced.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 161 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; **last confirmed close $85.22 / $80.44 on 13 Aug, Brent down $1.60**; intraday $85.28 / $80.54 with a Brent high of 85.47 and a low of 84.50); COA/CLA Comdty (active, unscored — $87.15 / $81.37; **the 13 Aug active spread of $5.82 is the widest since 6 May**); NGA ($2.747 intraday, 13 Aug close $2.727, against the $2.640 war low of 6 Aug); TZTA (€60.270 intraday; the 13 Aug close of €60.400 leaves the 24 Jul war record of €63.649 **€3.25 away**); JGLA (¥3,417 on the 13 Aug close after a ¥3,453 backfill for 12 Aug; **no 14 Aug print and 11 Aug was never backfilled**, flagged and NOT carried); USGG2YR/5YR/10YR/20YR/30YR — **the full curve printed on both sessions**, intraday 4.1502 / 4.3215 / 4.6467 / 5.2141 against 13 Aug closes of 4.1424 / 4.3164 / 4.6427 / 5.2125, the whole curve down 4.5 to 6.5 bp; USYC2Y10 (+49.434 intraday; the 13 Aug close of **+49.821 is the steepest since 20 May** and a fourth consecutive steepening); USGGBE10 (2.2585 intraday, 2.2590 close — **0.21 bp above the 2.2569 anchor**, from 1.86 bp on 10 Aug); USGG5Y5Y (2.2867 intraday; **the 13 Aug close of 2.2900 is BELOW the 2.30% trigger, ending eleven consecutive closes above it** and the lowest since 28 Jul); SOFRRATE (**no print 13 or 14 Aug**; last 3.62 on 12 Aug); MOVE (**69.23 on the 13 Aug close, −2.86, lowest since 16 Jul and 4.15 BELOW the pre-war anchor**; no 14 Aug print) and VIX (14.63 close; **14.55 on 12 Aug is the lowest print of 2026**; no 14 Aug print); DXY (99.964 close, 99.919 intraday, after a first triple-digit close of 100.014 on 12 Aug); AUTMUSAG (AAA all-grades pump — score reference; **BOTH blank sessions backfilled UP, $4.72 on 11 Aug and $4.76 on 12 Aug, back ABOVE the $4.75 trigger**; blank 13 and 14 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; $4.006 for the week to 10 Aug, no new print, next due 17 Aug). **Data-integrity note:** the stale-row check clears. The 12 Aug row settled with true closes and **the Brent gap of −$0.13 is the smallest in the running series**; four series backfilled (AUTMUSAG for 11 and 12 Aug, JGLA, MOVE, VIX and SOFR for 12 Aug). No field in the 13 or 14 Aug rows is identical to a prior close to four decimal places, so the §9.19 field-level test raises nothing this edition. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. IEA (**August Oil Market Report, 12 Aug: effective OPEC spare capacity 0.07 mb/d and total OPEC+ 1.09 mb/d, of which 0.64 in Russia, 0.25 Kazakhstan, 0.13 Mexico, with NO effective spare assigned to Saudi Arabia, Iraq or Kuwait — this replaces the ~0.17 mb/d figure carried here since 10 July; 2026 demand cut a further 510 kb/d to a 1.6 mb/d contraction; 3Q26 supply cut 1.7 mb/d; 3Q26 deficit more than doubled to 1.8 mb/d; global observed stocks −69 mn bbl in July to just below 7.9 bn, first time under since April 2025, cumulative end-Feb to end-July draw 410 mn bbl or 2.7 mb/d; Gulf production 23.9 mb/d with 8.3 mb/d shut in; Gulf exports including bypass routes −2.1 mb/d to 15 mb/d; refinery throughput 80.9 mb/d, ~5 below a year ago, Atlantic Basin margins at all-time highs**). **EIA** (**Weekly Petroleum Status Report, 12 Aug, week to 7 Aug: commercial crude +17.4 mn bbl to 424.4 mn against an API estimate of +9.072 mn; gasoline −1.0 mn to 208.7 mn; distillate −0.1 mn to 107.1 mn, ~12% below the five-year average; utilisation 96.2%, runs 17.2 mb/d; crude imports +1.14 mb/d to 7.3 mb/d against a 6.3 mb/d four-week average; SPR 298.7 mn bbl, −6.1 mn w/w, against 403.2 mn a year ago**). **OPEC** (August MOMR, 12 Aug: 2026 demand growth cut to about +600 kb/d from +800, the fourth consecutive cut, on China, India and other Asia; 2027 raised to about +2.2 mb/d). **US Treasury via Helious desk data and Bloomberg** (**the $25bn 30-year of 13 Aug at 5.216%, reported as the highest 30-year auction yield since 2001, bid-to-cover 2.39x against a 2.38x twelve-month average, indirects 66.8% against 66.4%, directs 21.6%, dealers 11.5% — in line on every metric, with NO when-issued print sourceable and no tail asserted; the 10-year of 12 Aug at 4.683% against a 4.682% when-issued, 2.53x against 2.49x, indirects 76.7%, directs 14.7%, dealers 8.6%, reported as the highest 10-year auction yield since 2007**; the 9 July 30-year reopening cleared 5.058% on 77.7% indirects). **BLS** (**July CPI, 12 Aug: +0.1% m/m and +3.4% y/y headline, +0.2% and +2.5% core, both core measures 0.1pp below June; energy index −1.5% m/m and gasoline −2.9%, energy still +14.7% y/y. July PPI, 13 Aug: final demand 0.0% m/m against a +0.2% consensus, core +0.2% against +0.3%, +4.7% y/y headline and +4.2% core**). **Department of Labor via Bloomberg** (initial claims 209,000 for the week to 8 Aug against a 202,000 consensus, +9,000 on the week; continuing claims

1.78 mn). **Bloomberg** (Cleveland Fed's Beth Hammack, 13 Aug, reiterating a call to raise rates now and saying she lacks confidence the inflation slowdown persists). **UKMTO** (**JMIC Advisory Note Update 084, 1 Mar to 13 Aug: 'NTR' — no confirmed incidents across 12–13 Aug, cumulative 86 unchanged; all threat levels unchanged from 083 with Hormuz SEVERE; Hormuz transits 3 cargo + 2 tankers on 11 Aug and 2 cargo + 1 tanker on 12 Aug, 27 US NCAGS-facilitated over the 48 hours; Bab el-Mandeb 24 and 22; CENTCOM tally as of 12 Aug of 59 redirected, 3 disabled, 2 boarded; four vessels held; the Al Mokha victim named as MV Tihamah**; 081 unretrievable, 085 not published). **Reuters citing Kpler and LSEG** (Kpler 8 Hormuz vessels on 11 Aug, the lowest since 5 Aug, against a 10-day average of ~12 and a stated pre-war baseline of about 130–140 a day; LSEG 11 the same day from 14; **all seven vessels still transiting took the Iranian route**; Bab el-Mandeb 30 crossings against a 10-day average of 25). **CNBC** (13 Aug: a Kpler five-day average near 13, close to the lowest since 12 May, on a stated pre-war baseline of 130 a day; the Persian Gulf Strait Authority statement). **Windward MIOC and Vortexa** (**Kharg's western terminal reactivated 12 Aug after 25 days empty with a ~333 m dark VLCC loading, still at berth 02:08 UTC 13 Aug; eastern empty 14 days, LPG 17; queue 16 dark tankers from 17; zero Kharg departures 31 Jul to 11 Aug**; Yanbu 12 vessels loading on 13 Aug from 14, nine departures 10–13 Aug carrying ~8.63 mn bbl; Russia-to-Iran wet cargo up 2.9x by shipment and 2.5x by volume over 164 days). **Al Jazeera, CNN, CBS, Euronews and MarineLink** (Hegseth on 13 Aug that the blockade can be held 'indefinitely' by rotating carriers; Trump on Truth Social, 12 Aug, 'TOTAL CONTROL… I THINK WE WILL KEEP IT' and 'A WALL OF STEEL'; Khatam al-Anbiya's 13 Aug rebuttal; Araghchi; **Al Jazeera's 13 Aug assessment that the talks are in deadlock**). **AAA** (**13 Aug: regular $4.0715, up 3.55 cents, and diesel $5.4043, up 4.68 cents**; 12 Aug $4.0360 and $5.3575; week ago $4.0633 and $5.3474). **Reuters and Bloomberg citing IIR** (Aramco's 400k b/d Jizan restart unchanged at 30 August after the 27 July and 8–9 August attacks; no company confirmation). **Reuters, Al Jazeera and Oman's Environment Authority** (the Caroline Bezengi slick at 390–400 km² as of 10 Aug from ~20 km² on 31 Jul, no salvage vessel on scene, first disclosed two months after the 12 June grounding). **Anadolu and Al-Monitor** (the Hormuz 'Strategic Action' bill: general outlines approved in committee 9 Aug; **no floor vote and no Guardian Council action**). **Marsh via S&P Global** (hull war risk 7.5–10% of hull value as of 22 July, still the most recent named-underwriter figure). **Oman Ministry of Foreign Affairs** (fm.gov.om, news and statements indexes checked directly — see the log below).

Tier 3 — state media and combatant claims (labelled). Fars carried Basij commander Hossein Taeb's claim that the strait is 'under the management and control of the Islamic Republic' and Rasoul Sanaei-Rad's statement that Iran would fight 'more offensively' in a future war; neither is corroborated by a Tier 1 outlet and both are carried as Tier 3 only. **SABA**'s account of an attack on 'a Saudi ship carrying military equipment' remains contradicted by the Tihamah's Tanzanian flag, Egyptian ownership and food cargo; **the Houthis have still not claimed the attack six days on. CORRECTIONS AND RE-VERIFICATIONS THIS EDITION. (i) The SPR figure of 298.7 mn bbl is the level for the week ending 7 August, not 10 August** — the 10 August date in the EIA release belongs to the retail price survey, and the last two editions attached it to the stock level. The level and the –6.1 mn weekly change are unchanged. **(ii) The Kpler 10-day average is ~12, not the ~11 carried on 12 August** (Reuters, 12 August). **(iii) Windward's 'Kharg is at a standstill' post of 9 August — 17 dark tankers, zero departures, three terminals idle — is SUPERSEDED by its 13 August post recording the western terminal reactivating on 12 August.** Several secondary outlets are still recycling the standstill framing and it should not be repeated. **(iv) A secondary data source gives the 13 May 30-year stop as 5.046% rather than the 5.050% this monitor has carried.** The difference is 0.4 bp and immaterial to Threshold A, and the figure is flagged rather than silently switched; the 9 July reopening at 5.058% remains a separate auction and both continue to be quoted explicitly. **(v) The 10-year auction size is reported as $42bn on the refunding schedule and as $52.6bn by one data provider; Treasury's own release could not be retrieved, so no size is asserted here** and only the clearing statistics are used. **(vi) A third-party roster attributes the Federal Reserve chair to a different individual than this monitor has assumed. It is single-sourced, uncorroborated, and NOT used: no chair attribution appears anywhere in this edition. (vii) Egyptian foreign ministry and IMO condemnations of the Tihamah attack could be sourced only outside this monitor's named-outlet tier and are carried as unconfirmed. (viii) Stale articles surfacing prominently in search and NOT used:** Türkiye Today (30 March) and Seoul Economic Daily (31 March) on a Hormuz toll law, which concern an earlier and different measure; gCaptain's 'Hormuz Is Reopening' (16 June), whose premise was overtaken; a JPost/Reuters 'eight ships transit' report dated 5 August whose headline number coincidentally matches 11 August; and a Dawn/Reuters Bab el-Mandeb piece dated 31 July. **(ix) Oman, stating the exact query asked of the primary source per §9.23:** fm.gov.om's news and statements indexes were both read directly on 14 August. The most recent item of any kind is **12 August, concerning Colombia and the Golan, which is not Iran-related**; the most recent **Iran/Hormuz-relevant** statement remains **8 August**; and the most recent **Oman–Iran joint statement** remains **23 June**. Nothing on Iran or Hormuz was published 9–14 August. **(x)** straits.live figures remain retracted and the IMF PortWatch transit figure remains dropped.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (14 Aug, Friday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). **The extract carries TWO new sessions** because no edition was built on 13 August. The stale-row integrity check **CLEARS**: the 12 Aug row settled with true closes, and **the Brent gap of –$0.13 against the $86.95 published for it is the smallest in the running series**. Four series BACKFILLED: AUTMUSAG for 11 and 12 Aug (**at $4.72 and $4.76, both UP**), and JGLA, MOVE, VIX and SOFR for 12 Aug. **11 Aug JGLA was never backfilled and is a permanent hole.** The §9.19 field-level test raises nothing: no field in the 13 or 14 Aug rows is identical to a prior close to four decimals.
2	Recompute deltas	d/d is 14 Aug intraday vs the 13 Aug close. **w/w bases DIVERGE and are labelled separately per §9.20:** energy runs vs the 7 Aug close (five sheet-rows back from the latest row) and rates vs the 6 Aug close (five rows back from the 13 Aug close, the latest complete row for MOVE/VIX/SOFR purposes). vs-pre-war is against the 27 Feb 2026 anchor, re-verified field by field and unchanged. **The 13 Aug close is published in full** rather than used only as a reference, because no edition reported it.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. **No channel moved; the score holds at 27/30 for a seventh edition.** Oil held at 2 (last close $85.22, –$1.60 — **$9.78 below the $95 trigger, having been $8.38**). US inflation held at 5 **even though 5Y5Y broke BELOW the 2.30% level that fired it**, because the documented downgrade is the 2.142% anchor, 14.80 bp lower (§9.16). Treasury held at 5 — **MOVE 69.23 satisfies the volatility leg for a third time and by the widest margin**, but the 30Y leg fails by 21.25 bp (§9.15, §9.18). Political held at 5, and its downgrade candidate **reversed**: AUTMUSAG back to $4.76, above the trigger. Maritime and escalation are event-based and both maxed.
4	Reconcile against the prior edition	The 12 Aug close ran BELOW my Wednesday snapshot on crude and ABOVE it on gas and rates. Brent $86.82 vs a published $86.95 (–**$0.13, the smallest gap recorded**); WTI $82.17 vs $82.29 (–$0.12); COA $88.98 vs $89.38 (–$0.40); Henry Hub $2.804 vs $2.777 (+$0.027); **TTF €61.021 vs €59.905 (+€1.116)**; DXY 100.014 vs 99.880; 30Y 5.2574% vs 5.2306% (**+2.68 bp**), 10Y 4.6925% vs 4.6823% (+1.02 bp), 2Y 4.2011% vs 4.2137% (–1.26 bp), 2s10s +48.929 vs +46.652 (**+2.28**), 5Y5Y 2.3485% vs 2.3337% (+1.48 bp), BE10 2.2653% vs 2.2621%. Running Brent snapshot-to-close gap series: –$0.84, +$1.97, –$0.47, –$3.99, +$0.10, +$2.26, +$0.72, +$0.87, –**$0.13**. **Note the direction: the long end sold off after my snapshot on 12 Aug and then rallied hard on 13 Aug**, so a single-session reading of either day would have been wrong.
5	Update scenarios and watchlist	Re-rank catalysts: whether 5Y5Y holds below 2.30% and whether BE10 crosses below its pre-war anchor; whether MOVE holds below 75 for a second and third session; the DOE weekly gasoline print on 17 Aug as first corroboration of the reversal; the next EIA weekly against a 17.4 mn bbl build and whether imports stay at 7.3 mb/d; whether the 10-year re-crosses 4.65% and re-arms Threshold B; whether Kharg loads a second cargo; UKMTO Update 085. Deal collapse 38→40, contained-but-violent 21→22, full war 24→22, regional relapse 12→11, mediated pause unchanged at 5.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold. **This edition is the strongest test that design has faced, and it is worth being explicit about what it cost and what it saved.** It cost a channel: 5Y5Y closed BELOW the 2.30% level whose break fired US inflation to 5, and the score did not move, because the documented downgrade is the 2.142% anchor 14.80 bp lower. A reader is entitled to find that uncomfortable and §9.16 requires it be stated rather than resolved by moving the line. It saved a channel too: political stress showed a six-session decline to nine cents from its named condition, and both backfilled prints reversed it entirely within two sessions. **Had that downgrade been taken on momentum it would have been wrong inside forty-eight hours**, which is the fourth time in a fortnight hysteresis has been vindicated in one direction or the other.

Scale cap — binding on five of six channels, and this week it hid an improvement rather than a deterioration. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range**, and this week it moved $1.40 further from using it. The failure mode documented on 30 July and 12 August was a score that could not register deterioration. **This edition is the mirror image: the score cannot register improvement either.** Across two sessions the entire financial complex de-risked — the firing trigger of one channel was lost, the volatility leg of another was satisfied by its widest margin, a Stage-4 threshold lapsed, inflation compensation returned to its pre-war level and $67bn of duration cleared without a tail — and the total did not move a point, because none of it satisfied a documented downgrade rule. Readers should weight the composition commentary in section 3 at least as heavily as the total, in both directions. **The countervailing fact, and the reason this monitor is not minded to soften its framing, is that the physical buffer got thinner in the same forty-eight hours:** effective OPEC spare capacity of 0.07 mb/d is the lowest figure this document has ever carried.

Data integrity this edition. The stale-row check clears cleanly. The 12 August row settled with true closes differing from the intraday values published for it, and the **Brent gap of –$0.13 is the smallest in the running series** — the quietest US session the monitor has recorded against its own snapshot. Per §9.17 that is not evidence the next reconciliation will be quiet; the direction is also worth noting, because the long end sold off after the 12 August snapshot (30Y +2.68 bp, 2s10s +2.28) and then rallied 4.49 bp on 13 August, so either day read alone would have misled. **Four series backfilled: AUTMUSAG for BOTH 11 and 12 August, at $4.72 and $4.76 — both increases, and the reason this edition reports a reversal the last one could not see** — plus JGLA, MOVE, VIX and SOFR for 12 August. **Asia LNG for 11 August was never backfilled and is now a permanent hole**, so the 10-to-12 August move in that series cannot be decomposed and is not treated as a single observation. The §9.19 field-level stale-carry test raises nothing: no field in the 13 or 14 August rows is identical to a prior close to four decimal places. Where third-party sources disagree, the disagreement is reported and **the denominator is always named**: this edition carries four Hormuz transit counts for 11 August — UKMTO's S&P/SeaVision annex at 5, Kpler via Reuters at 8 against a 10-day average of ~12, LSEG at 11, and UKMTO's US NCAGS-facilitated count at 27 across 48 hours — and takes no average, because they count different vessel universes and one counts a facilitated subset. The Bloomberg extract governs for every scored series; no price, yield or spread in this document comes from a news source.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war $3.52, peak $5.18, **latest confirmed print $4.76 on 12 August**, with 13 and 14 August blank). **The six-session decline reported in the last edition has fully reversed:** $4.76 on 3 August fell to $4.69 on 10 August over six sessions, then recovered to $4.72 on 11 August and $4.76 on 12 August in two — back above the $4.75 trigger that fired this channel to 5 on 4 August, and sixteen cents from the $4.60 downgrade condition rather than nine. USRFRUSA (DOE regular spot; pre-war ~$2.94, peak $4.50) is tracked alongside as corroboration only and has no new print; its last is $4.006 for the week to 10 August, which captured only the decline, and its next on 17 August will be the first weekly reading to test the reversal. Neither series is re-based. The basis note stands: AUTMUSAG is an ALL-GRADES series and AAA's own published national average is REGULAR-grade, which printed $4.0715 on 13 August — the same structural gap that exists at the pre-war anchor, $3.52 against ~$2.94.

Diesel continues to lead: AAA had it at $5.4043 on 13 August, **up 4.68 cents on the day and 5.7 cents on the week against gasoline's 0.8**, with distillate stocks about 12% below the five-year average, Atlantic Basin refining margins at all-time highs on the IEA's August assessment, and Jizan's 400k b/d out to 30 August. Refining rather than crude remains the binding constraint on the pump, and the last edition's call that diesel would turn first was correct.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent **+17.6%**, WTI +20.0%, TTF +93.0%, Asia LNG +104.7% on its last print; the 5Y (+81.5 bp), 2Y (+76.8 bp), 10Y (+70.5 bp), 30Y (+60.2 bp), 5Y5Y (+14.8 bp), DXY (+2.36) and the 10Y breakeven (+0.2 bp) sit above their anchors; VIX (–5.23), Henry Hub (–11.0%) and — **for the first time in this sequence — MOVE (–4.15)** are below. **Two crossings are now live.** The 10-year breakeven is 0.21 bp above its anchor, from 1.86 bp on Monday; a single further basis point puts spot inflation compensation BELOW its pre-war level for the first time in the war. And MOVE has already crossed: rates volatility is now cheaper than it was before the war, while the 30-year sits 60.19 bp above its own anchor. **That pairing — a fully normalised expectation of movement around a yield that has not normalised at all — is the single most striking configuration in this document**, and it is a market that has concluded the repricing is permanent.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close; the error is regime-dependent rather than random. This edition's specific exposure is small: the 14 August snapshot precedes US retail sales and the preliminary University of Michigan sentiment reading, neither of which was published at the time of the cut and neither of which is used here. The 12 August reconciliation was the quietest the monitor has recorded on crude at –$0.13, but it was NOT quiet on rates — the 30-year closed 2.68 bp above the snapshot and 2s10s 2.28 bp steeper — which is a reminder that a single-asset reconciliation is not a session-level verdict (§9.12). Recent Brent gaps between snapshot and subsequent close: –$0.84, +$1.97, –$0.47, –$3.99, +$0.10, +$2.26, +$0.72, +$0.87, –$0.13. CL2 remains an artifact against active CLA and the front-month/active gap is $1.87 in Brent; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.